

ANALYSIS OF THE BALANCE SHEET: THE MANAGERIAL FORMAT

Chapters 4 and 5



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20221 - FINANCIAL STATEMENTS ANALYSIS (ADVANCED COURSE)

- TWO FORMATS BUT REALLY ONE
- LIMITATIONS OF THE LIQUIDITY FORMAT
- AND WHAT ABOUT THE ACCOUNTING STANDARDS?
- THE “MANAGERIAL” FORMAT IS BETTER
 - ☐ THE BASIC FORMAT
 - ☐ THE MAIN METRICS
- LIMITATIONS AND REFORMULATION OPTIONS
 1. CASH & CASH EQUIVALENTS
 - ☐ THREE WAYS TO ANALYZE THE FINANCIAL DEBTS OF A COMPANY
 - ☐ NET FINANCIAL POSITION VS. NET FINANCIAL OBLIGATIONS
 - ☐ LUFTHANSA – ANNUAL REPORT 2025
 2. CURRENT OPERATING LIABILITIES: THEY ARE ALWAYS “CURRENT”
 - ☐ “NORMAL OPERATING CYCLE”: I/S AND B/S RELATIONSHIP
 - ☐ DELL TECHNOLOGIES INC. – ANNUAL REPORT FOR THE FISCAL YEAR ENDED JANUARY 30, 2026
 3. TAX ASSETS AND LIABILITIES
 4. ASSETS/LIABILITIES: A) «HELD FOR SALE»; B) FROM INVESTMENTS / DISPOSALS
- AN EXAMPLE: GENERAL MILLS INC. 2006-2005
- EXAMPLES FROM THE BOOK OF PROF. PENMAN:
 1. 1) GENERAL MILLS INC. 2008
 2. 2) NIKE INC. 2008
 3. 3) DELL COMPUTER INC. 2008
- A SUMMARY OF THE MOST RELEVANT METRICS
- SOME MORE RATIOS: MINORITIES INTERESTS’ (NON-CONTROLLING INTERESTS)
- SOME MORE RATIOS: GOODWILL AND INTANGIBLES
 - WALT DISNEY CO., 2021-2017



	<i>“Liquidity” Format</i>		<i>“Managerial” Format</i>	
	Assets	Liabilities and Equity	Assets	Liabilities and Equity
Reformulation Criteria	Next 12 months (short-term) Vs. Later than the next 12 months (long-term)		Operating Activities Vs. Non Operating Activities	
Balance Sheet Areas	Short-Term Assets (< 12 months)	Short-Term Liabilities (< 12 months)	<u>Current</u> Operating Assets	(Current) Operating Liabilities
	Long-Term Net Assets (> 12 months)	Long-Term Liabilities (> 12 months)	<u>Non Current</u> (Net Fixed) Operating Assets	Non Operating (Financial) Liabilities
		Net Equity	Non Operating Assets	Net Equity
Relevant Metrics	Net Working Capital (NWC)		Net Operating Working Capital (NOWC)	
	Invested Capital or Total Assets		Operating Invested Capital	
	Total Liabilities / Net Equity (total debt ratio)		Financial Debts / Net Equity (financial debt ratio)	



The “liquidity” format is **too much focused on the analysis of liquidity with some benchmarks**: quick ratio >1 , current ratio ≈ 2 .

But assets, liabilities and ownership equity are listed as of a specific date, such as the end of its financial year (a balance sheet is often described as a “*snapshot of a company's financial condition*”): so it is very easy to make a company look better financially than it really is...

There are the **Windows Dressing policies** (from dictionary: “*the act of decorating and arranging products to display in a store window*”); in accounting: making something appear deceptively attractive or favorable (in Balance Sheet)

Objective of windows dressing policies: to improve both the quick ratio and the current ratio by means of the following actions (that only impact on the balance sheet):

- a) Either to bring forward or to postpone the recording of some cash collections/payments
- b) To carry out transactions that impact on both the short-term and long-term areas of the balance sheet
- c) To carry out “bridging operations” for a very short period (open in December and close in January)

And, obviously, more: it is possible to manipulate the classification between short-term and long-term; It is possible to perpetrate some frauds that also impact on the Income Statement (fictitious A/R and sales, pre-billing etc.); etc

In order to prepare the “Liquidity” format we observe the realization/settlement degree of assets and liabilities, considering every single item inside an account

Example - If a company has a conversion cycle that, on average, lasts about 2 months, and both raw materials and finished products usually stay in inventory for 3 months, every inventory item represents a short-term asset, but...what about the total amount of inventory?

The “mass” of inventory always appears in the ending balance sheet of the company, and it is unreasonable to expect a zero value of inventory in the ending balance sheet (it is improbable that a company can support the manufacturing and sales process without inventories....).



Stockout occur when an organization runs out of a particular item for which there is a customer demand.



The definitions of Current Assets and Current Liabilities according to IAS 1 do not overlap with:

- Neither “short-term” assets/liabilities (“liquidity” format)
- Nor “current (operating)” assets/liabilities (“managerial” format).

SO, WE ALWAYS NEED TO REFORMULATE THE REPORTED BALANCE SHEET

An entity shall classify an asset as current when:

- (a) it expects to realise the asset, or intends to sell or consume it, in its **normal operating cycle**;
- (b) it holds the asset primarily for the **purpose of trading**;
- (c) it expects to realise the asset within **twelve months** after the reporting period; or
- (d) the asset is **cash or a cash equivalent** unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

An entity shall classify all other assets as non-current.

An entity shall classify a liability as current when:

- (a) it expects to settle the liability in its **normal operating cycle**;
- (b) it holds the liability primarily for the **purpose of trading**;
- (c) the liability is due to be settled **within twelve months** after the reporting period; or
- (d) it does not have an unconditional right to defer settlement of the liability for at least **twelve months** after the reporting period.

An entity shall classify all other liabilities as non-current.



Why is the “managerial” format different from the “liquidity” one?

Even in this case B/S amounts are listed as of a specific date, such as the end of its financial year: but **this format is not focused on “liquidity” ratios (more: liquidity analysis is mainly based on the reformulated cash flow statement and not on ratios)**

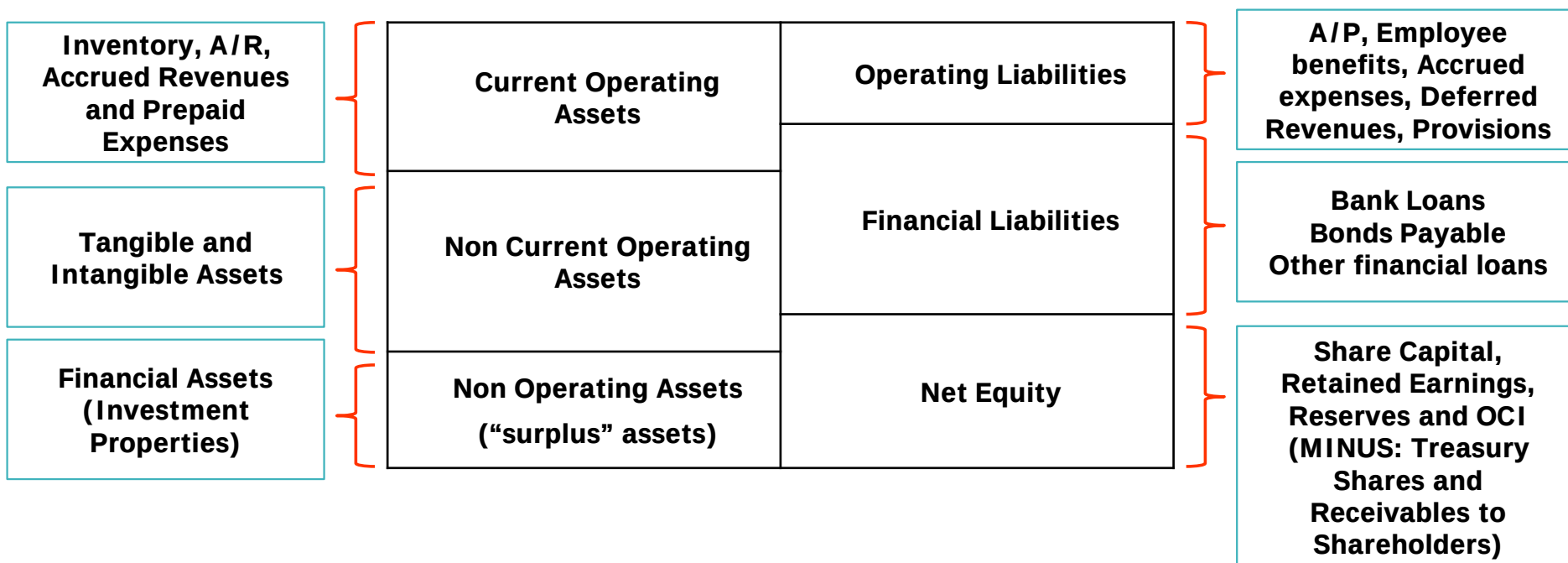
In fact the “managerial” format:

- Observes the nature (and destination) of assets and liabilities
- Does not support any “liquidity” ratio

It is preliminary to the reformulation of the Cash Flow Statement (identifying the Operating Free Cash Flow) where it is relevant the analysis of the change in Net Operating Working Capital (rather than its size)

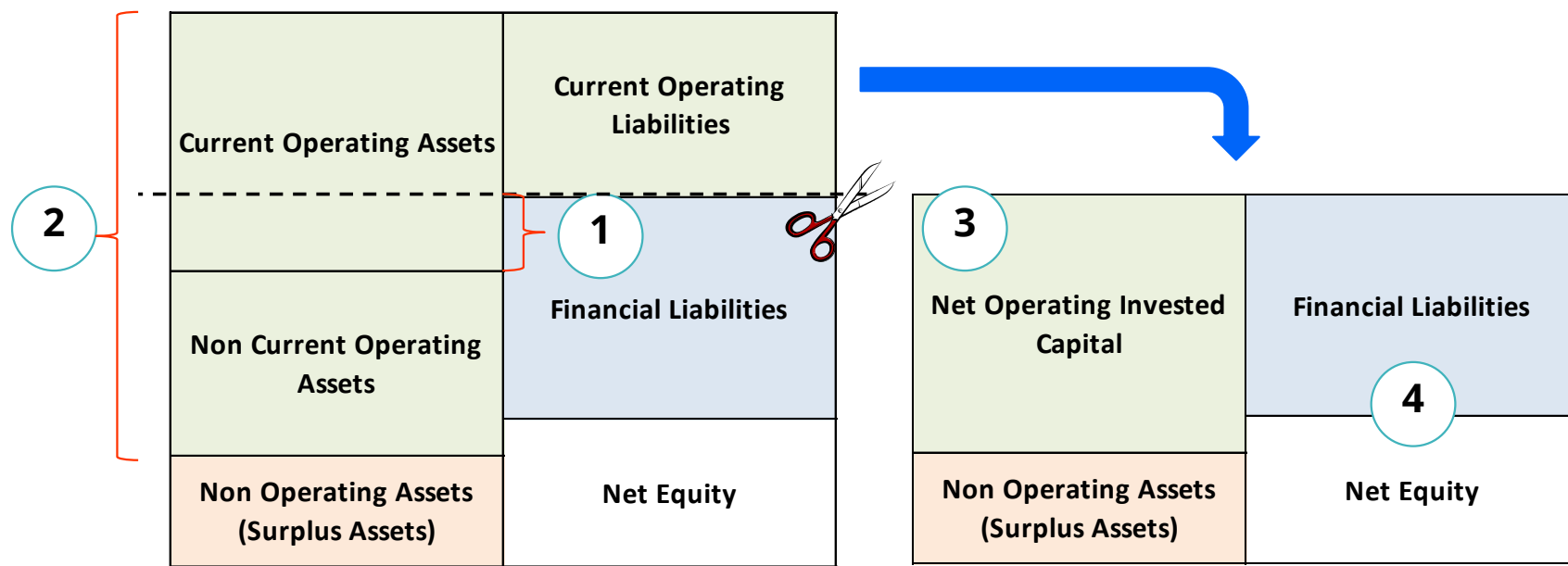
That’s why professional financial analyst always use this format (and it is the basis for DCF and EVA valuations)





Remember the relationship between Operating Assets and Operating Income.

Many Analysts classify Investment Properties as Non Current Operating Assets (they are just a “segment” of Operating Assets and Income) → Non Operating Assets only include Financial Assets.



Relevant Amounts and Ratios:

1. **Net Operating Working Capital** (Current Operating Assets – Operating Liabilities)
2. **(Gross) Operating Invested Capital**: Current Operating Assets + Non Current Operating Assets
3. **Net Operating Invested Capital**: Current Operating Assets – Operating Liabilities + Non Current Operating Assets (= NOWC + Non Current Operating Assets)
4. **Financial Debt Ratio** or Financial Debt-to-Equity (Financial Liabilities / Net Equity)



Current Operating Assets	Current Operating Liabilities
Non Current Operating Assets	Financial Liabilities
Non Operating Assets (Surplus Assets)	Net Equity



Reformulation Limitations and Options:

1. Where are **Cash & Cash Equivalents**? And what happens if we want to get the **Net Financial Position** (or the **Net Financial Obligations**)?
2. Are the **Operating Liabilities** always “current”? Why are Operating Liabilities not divided in “current” and “non current”? Why do we deduct them to get the NOWC?
3. Where do we classify **Tax Liabilities (and Tax Assets)**?
4. Where are “held for sale” net **assets/liabilities**? And where are the **assets/liabilities related to acquisitions and disposals of subsidiaries and long-term assets** (investment/divestment)?



Cash & Cash Equivalents:

1. They can be classified, for the full amount, as **Non Operating Assets**, i.e. they are similar to financial assets (that's what we do in asset-side valuation methods, ex. DCF).
2. Some analysts separate the amount of “working cash” and classify it into the **Current Operating Assets** category: this is the amount of cash that is necessary to support the operating cycle, i.e. the normal purchase, conversion, sales activities:
 - ☐ for retail companies analysts estimate the amount of “working cash” as a percentage of net revenues, ex. 0,5%);
 - ☐ For non-retail companies it is difficult to say...

2 Current Operating Assets	Current Operating Liabilities
Non Current Operating Assets	Financial Liabilities
1 Non Operating Assets (Surplus Assets)	Net Equity



Are they the same?

- Net Financial Debts (Obligation)
- Net Financial Position
- Net Short-Term Financial Debts

Name	Formula	Use
Net Financial Debts (Obligations)	+ Total Financial Debts – Total Financial Assets (short-term + long-term)	Typically used in the Modigliani-Miller decomposition of ROE (ex. Prof. Penman)
Net Financial Position	+ Total Financial Debts - Cash - Short-Term Financial Assets	Typically used by financial markets regulators and financial institutions (ex. for covenants) in order to define a benchmark, as an upper limit (ex $NFP/EBITDA \leq 4$; $NFP/NE \leq 3$). Typically used in credit analysis and in equity analysis (in order to define the “cost of debt”, K_d)
Net Short-Term Financial Debt	+ Short-Term Financial Debts - Cash - Short-Term Financial Assets	It shows the financial exposure in the short-term perspective. Before IAS/IFRS (2005), listed companies prepared the cash flow statement in order to explain the change in this aggregate



Current Operating Assets	Current Operating Liabilities
NOWC	1
Non Current Operating Assets	Net Financial Position (Financial Liabilities net of Cash and other short-term Financial Assets)
2 Non Operating Assets (long-term financial assets)	Net Equity

Current Operating Assets	Current Operating Liabilities
NOWC	3
Non Current Operating Assets	Net Financial Obligations (Financial Liabilities net of Cash and Financial Assets)
4	Net Equity

Net Financial Position:

1. If we want to replace the “Financial Liabilities” with the “Net financial Position”, we have to remove cash and some short-term financial assets from the “Non Operating Assets” category and put them, as negative items, into the “Financial Liabilities” category.
2. Non Operating Assets only include Long-Term Financial Assets (and sometimes Investment Properties if they are not classified as Operating Assets).

Net Financial Obligations:

3. All Financial Assets (both short-term and long-term) are subtracted from the Financial Liabilities) → Net Financial Obligations or Net Financial Debts (if positive, Net Financial Assets)
4. Non Operating Assets disappear...



T025 Calculation of net indebtedness

	2025 in €m	2024 in €m	Change in %
Bonds	-6,736	-6,969	3
Borrower's note loans	-470	-395	-19
Credit lines	-24	-26	8
Aircraft financing	-3,716	-3,798	2
Lease liabilities	-3,459	-2,887	-20
Other financial debt	-122	-148	18
Financial liabilities	-14,527	-14,223	-2
Other bank borrowing	-27	-9	-200
Group indebtedness	-14,554	-14,232	-2
Bank balances, cash in hand and time deposits (4-12 months)	2,325	2,465	-6
Securities	5,823	6,023	-3
Net indebtedness	-6,406	-5,744	-12
Pension provisions	-2,364	-2,692	12
Pension surpluses	462	126	267
Net pension obligation	-1,902	-2,566	26
Net indebtedness and net pension obligations	-8,308	-8,310	0

$$2,325 + 5,823 = 6,988 + 1,160$$

T087 Consolidated statement of financial position – assets

in €m	Notes	31 Dec 2025	31 Dec 2024
Intangible assets with an indefinite useful life ¹⁾	17	1,021	1,016
Other intangible assets	18	331	321
Aircraft and reserve engines	19, 22	19,820	18,828
Repairable spare parts for aircraft	20	2,270	2,154
Other property, plant and other equipment ²⁾	21, 22	3,317	2,958
Equity investments accounted for using the equity method	23	1,034	597
Other equity investments	24, 45	293	266
Non-current securities	24, 45	22	21
Loans, receivables and other assets	25, 45	1,533	852
Derivative financial instruments	45	238	821
Prepaid expenses	29	47	55
Income tax receivables		46	165
Deferred tax assets	14	2,264	2,682
Non-current assets		32,236	30,736
Inventories	26	1,645	1,606
Contract assets	27	449	395
Trade receivables and other receivables	28, 45	4,586	4,257
Derivative financial instruments	45	340	803
Prepaid expenses	29	267	254
Income tax receivables		322	501
Interest-bearing securities and similar investments	30, 45	6,988	6,698
Cash and cash equivalents	31, 45	1,160	1,790
Assets held for sale	32	401	12
Current assets		16,158	16,316
Total assets		48,394	47,052



- Operating Liabilities are often called “Current Operating Liabilities” or, simply, “Current Liabilities”
- And they are always subtracted from Current Operating Assets to get the Net Operating Working Capital).



Why are the Operating Liabilities “current”?

Operating Liabilities are “current” because they are related to the normal AND recurring operating cycle (not because they are short-term liabilities!).

Operating Liabilities are related to those activities that generate the re-curring Operating Income (accounts payable, accrued expenses, deferred revenues, employee benefits, provisions); they can be both short- term and long-term liabilities

Substantially:

Current = Re-current (recurring)



Remember: Accounting Standards use a “hybrid” definition of “current” assets and liabilities (see above): based on either the short-term rule OR the operating cycle rule

Current Operating Assets	Current Operating Liabilities
Non Current Operating Assets	Financial Liabilities
Non Operating Assets (Surplus Assets)	Net Equity

Attention 1: NOWC is re-Current net investment (financing) that is related to the normal operating cycle! So, it is possible to observe “negative” amounts of the NOWC. **Difficult to define a benchmark value: better to focus our attention to the change of NOWC (and not only to its size)**

Attention 2: NOWC is not, simply: $A/R + Inventory - A/P$. This is an extremely simplified view of the NOWC.



	CURRENT OPERATING ASSETS				(CURRENT) OPERATING LIABILITIES					NON CURRENT OPERAT. ASSETS	NON OPERAT. ASSETS	FINANC. LIABILIT.
	A/R	Inventory	Prepaid expenses	Accrued revenues	A/P	Accrued expenses	Deferred revenues	Employee benefits	Provisions			
Net Sales Revenues	✓			✓			✓					
Other operating revenues	✓			✓			✓					
Purchase of materials		✓			✓							
Purchase of services		✓	✓		✓	✓						
Payroll expenses		✓				✓		✓				
Allowance for doubtful receiv.	✓											
Provision expenses									✓			
EBITDA												
Depreciation / Amortization		✓								✓		
Impairment of tang./int. assets										✓		
Operating Income												
Financial Income											✓	
Financial Expenses												✓
Income taxes												

They affect Non Current Operating Assets (together with investment / divestments)

They affect Non Operating Assets (together with investment / divestments)

They affect Financial Liabilities (together with borrowings / reimbursements)

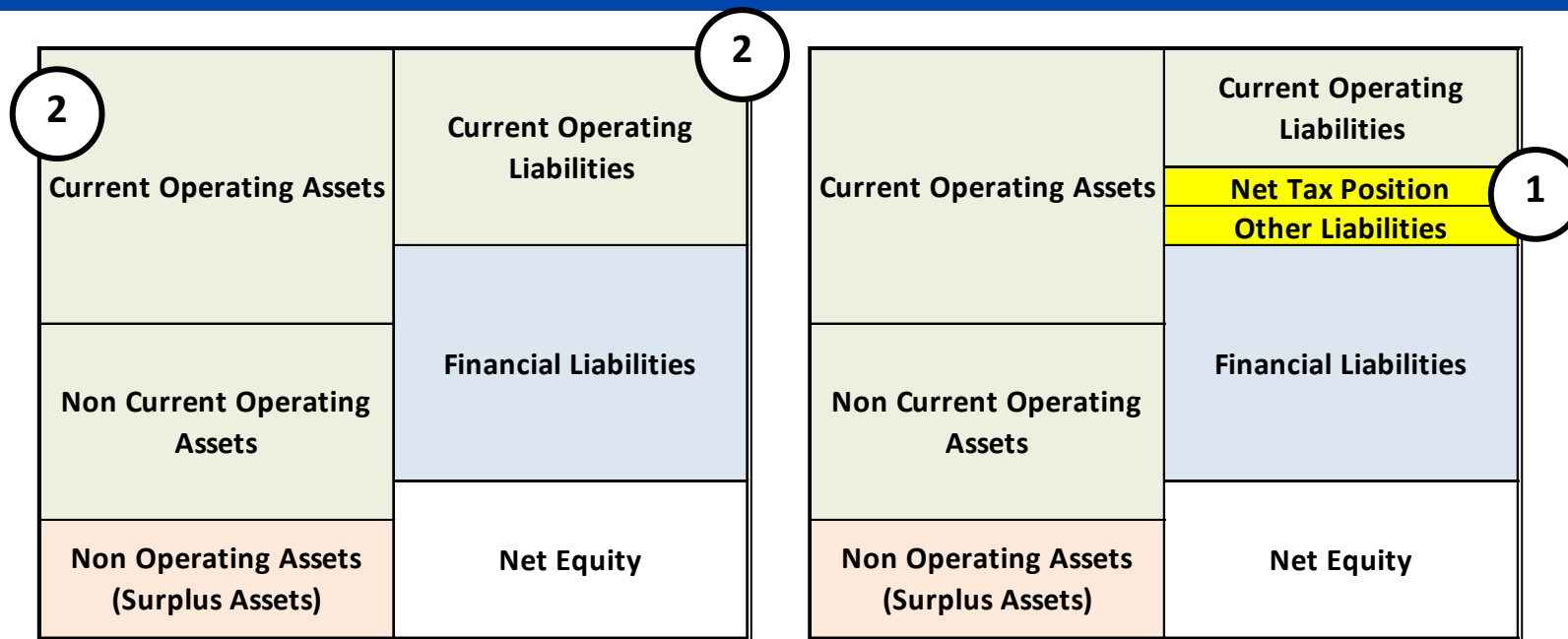
Optionally, tax assets/liabilities can be included in NOWC

	January 30, 2026	January 31, 2025
ASSETS		
<i>Current assets:</i>		
Cash and cash equivalents	\$ 11,528	\$ 3,633
Accounts receivable, net of allowance of \$77 and \$63	17,585	10,298
Short-term financing receivables, net of allowance of \$121 and \$78	8,458	5,304
Inventories	10,437	6,716
Other current assets	9,594	9,610
Current assets held for sale	—	668
Total current assets	57,602	36,229
Property, plant, and equipment, net	6,676	6,336
Long-term investments	1,730	1,496
Long-term financing receivables, net of allowance of \$92 and \$75	5,822	5,927
Goodwill	19,547	19,120
Intangible assets, net	4,533	4,988
Other non-current assets	5,376	5,650
Total assets	\$ 101,286	\$ 79,746
LIABILITIES AND STOCKHOLDERS' EQUITY		
<i>Current liabilities:</i>		
Short-term debt	\$ 7,990	\$ 5,204
Accounts payable	33,630	20,832
Accrued and other	8,315	6,597
Short-term deferred revenue	13,334	13,673
Current liabilities held for sale	—	221
Total current liabilities	63,269	46,527
Long-term debt	23,513	19,363
Long-term deferred revenue	13,596	12,292
Other non-current liabilities	3,378	2,951
Total liabilities	\$ 103,756	\$ 81,133
Commitments and contingencies (Note 11)		
<i>Stockholders' equity (deficit):</i>		
Common stock and capital in excess of \$0.01 par value	\$ 9,457	\$ 9,119
Treasury stock at cost	(14,533)	(8,502)
Retained earnings (accumulated deficit)	3,325	(1,160)
Accumulated other comprehensive loss	(719)	(939)
Total Dell Technologies Inc. stockholders' equity (deficit)	(2,470)	(1,482)
Non-controlling interests	—	95
Total stockholders' equity (deficit)	(2,470)	(1,387)
Total liabilities and stockholders' equity	\$ 101,286	\$ 79,746

NOWC**2026: -\$17,663m****2025: -\$14,478m****Revenues****2026: \$113,538****2025: \$95,567****NOWC / Revenues****2026: -15,55%****2025: -15,15%**

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- ☐ Where do we classify the **tax assets/liabilities**?
- ☐ Tax assets and liabilities usually include tax receivables, tax payables, deferred tax assets and deferred tax liabilities. These assets and liabilities are usually divided, in the liquidity format, in short-term and long-term assets and liabilities. [Attention: according IAS 1 a company “*shall not classify deferred tax assets (liabilities) as current assets (liabilities)*”]
- ☐ There are **two possible solutions**:
 1. to highlights the total tax position (tax liabilities, net of tax assets) as a separate category
 2. to classify all the tax assets into the “Current Operating Assets” category and all the tax liabilities into the “Operating Liabilities” category. This way, tax assets/liabilities affect the calculation of the Net Operating Invested Capital → The main objective of this option is to separate the financial liabilities from the operating (and tax) liabilities in order to simplify the use of the Modigliani-Miller decomposition of ROE (focus on financial debt-to-equity ratio)



3 1

Current Operating Assets	Current Operating Liabilities
Non Current Operating Assets	Financial Liabilities
Non Operating Assets (Surplus Assets)	Net Equity

Current Operating Assets	Current Operating Liabilities
	Net Tax Position
	Other Liabilities
Non Current Operating Assets	Financial Liabilities
Non Operating Assets (Surplus Assets)	Net Equity

2 4

- Where are the “held for sale” assets/liabilities? According to IFRS 5 they have to be classified separately from other assets/liabilities (the same in I/S and CF/S).
 1. The best solution is to put the amount of these assets (net of liabilities) into the “Non Operating Assets” (surplus assets) category. This way, their value does not affect the operating invested capital.
 2. If the net amount is negative (liabilities are higher than assets), it can be classified as a new category in the liability-side of the B/S (“other liabilities”)
- Where are the assets / liabilities for investments / divestments of long-term (operating and financial) assets? If they have a relevant amount, it would be better to separate them from the “normal” operating items. Two possibilities:
 3. into the Non Operating Assets category;
 4. a new category in the liability-side of the B/S (“other liabilities”).



BALANCE SHEET REFORMULATED - "MANAGERIAL FORMAT"

A

	May 28, 2006		May 29, 2005	
Current Operating Assets	2.994	16,6%	2.847	15,9%
Fixed Operating Assets	13.500	74,9%	13.537	75,8%
Total Operating Assets	16.494	91,5%	16.384	91,7%
Financial Assets (surplus)	1.531	8,5%	1.474	8,3%
Total Assets	18.025	100,0%	17.858	100,0%
Operating Liabilities	2.337	13,0%	2.271	12,7%
Financial Liabilities	6.397	35,5%	6.547	36,7%
Net Tax Liabilities	2.383	13,2%	2.231	12,5%
Equity	6.908	38,3%	6.809	38,1%
Total Liabilities and Equity	18.025	100,0%	17.858	100,0%

C

	May 28, 2006		May 29, 2005	
Current Operating Assets	2.994	21,1%	2.847	20,2%
Fixed Operating Assets	13.500	95,4%	13.537	95,9%
Total Operating Assets	16.494	116,5%	16.384	116,1%
- Operating Liabilities	-2.337	-16,5%	-2.271	-16,1%
Total Net Operating Assets	14.157	100,0%	14.113	100,0%
Financial Liabilities	6.397	45,2%	6.547	46,4%
Financial Assets (surplus)	-1.531	-10,8%	-1.474	-10,4%
Net Financial Obligations	4.866	34,4%	5.073	35,9%
Net Tax Liabilities	2.383	16,8%	2.231	15,8%
Equity	6.908	48,8%	6.809	48,2%
Total Liabilities and Equity	14.157	100,0%	14.113	100,0%

B

	May 28, 2006		May 29, 2005	
Current Operating Assets	2.994	19,1%	2.847	18,3%
Fixed Operating Assets	13.500	86,1%	13.537	86,8%
Total Operating Assets	16.494	105,1%	16.384	105,1%
- Operating Liabilities	-2.337	-14,9%	-2.271	-14,6%
Total Net Operating Assets	14.157	90,2%	14.113	90,5%
Financial Assets (surplus)	1.531	9,8%	1.474	9,5%
Total Net Assets	15.688	100,0%	15.587	100,0%
Financial Liabilities	6.397	40,8%	6.547	42,0%
Net Tax Liabilities	2.383	15,2%	2.231	14,3%
Equity	6.908	44,0%	6.809	43,7%
Total Liabilities and Equity	15.688	100,0%	15.587	100,0%

D

	May 28, 2006		May 29, 2005	
Current Operating Assets	2.994	25,4%	2.847	24,0%
Fixed Operating Assets	13.500	114,7%	13.537	113,9%
Total Operating Assets	16.494	140,1%	16.384	137,9%
- Operating Liabilities	-2.337	-19,8%	-2.271	-19,1%
- Net Tax Liabilities	-2.383	-20,2%	-2.231	-18,8%
Total Net Operating Assets	11.774	100,0%	11.882	100,0%
Financial Liabilities	6.397	54,3%	6.547	55,1%
Financial Assets (surplus)	-1.531	-13,0%	-1.474	-12,4%
Net Financial Obligations	4.866	41,3%	5.073	42,7%
Equity	6.908	58,7%	6.809	57,3%
Total Liabilities and Equity	11.774	100,0%	11.882	100,0%



BALANCE SHEET REFORMULATED - "MANAGERIAL FORMAT"

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Total Liabilities and Equity				

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Total Net Assets	15.688	100,0%	15.587	100,0%

All the 4 formats are acceptable. Is there any «best choice»?

It depends from our assumptions about profitability ratios (ROI and ROE):

- A - total gross ROI (operating and non operating)
- B - total net ROI (net operating and non operating)
- C - net «operating» ROI (non operating assets are not included)
- D - the same as C; better for ROE decomposition: tax liabilities are included in NOA and the liability side of the B/S only includes (net) financial debts and equity (ready for the analysis of the "financial leverage")

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Equity	6.908	58,7%	6.809	57,3%
Total Liabilities and Equity	11.774	100,0%	11.882	100,0%



Net Operating Invested Capital («net operating assets»), amounts to 12,847 and it is financed with 6,389 of «net financial obligations» and 6,458 of net equity (242+6.216)

NOA 12,8	NFO 6,4
	NE 6,4



GENERAL MILLS, INC.
Strategic Comparative Balance Sheet, 2008
(in millions of dollars)

	2008	2007
Operating assets		
Working cash	\$ 50	\$ 50
Receivables	1,082	953
Inventories	1,367	1,173
Prepaid expenses	511	444
Land, building, and equipment	3,108	3,014
Goodwill	6,786	6,835
Intangible assets	3,777	3,694
Deferred tax assets		67
Other assets	1,750	1,587
	<u>18,431</u>	<u>17,817</u>
Operating liabilities		
Accounts payable	\$ 937	\$ 778
Deferred tax liabilities	1,483	1,433
Other liabilities	3,164	3,309
	<u>5,584</u>	<u>5,520</u>
Net operating assets	<u>12,847</u>	<u>12,297</u>
Net financial obligations		
Current portion of debt	442	1,734
Notes payable	2,209	1,254
Long-term debt	4,349	3,218
Cash equivalents	(611)	(367)
	<u>6,389</u>	<u>5,839</u>
	<u>6,458</u>	<u>6,458</u>
Minority interest	<u>242</u>	<u>1,139</u>
Common shareholders' equity	<u>6,216</u>	<u>5,319</u>

«Net operating assets (5.805,5) and «net financial assets» (1.991,7) are financed with equity (7.797,3)

NOA
5,8

NE
7,7

NFA
1,9

	2008	2007	2006	
Net operating assets				
Operating assets				
Working cash ¹	\$ 93.1	\$ 81.6	\$ 74.8	(4)
Accounts receivable, less allowance for doubtful accounts	2,795.3	2,494.7	2,395.9	
Inventories	2,438.4	2,121.9	2,076.7	
Prepaid expenses and other current assets	602.3	393.2	380.1	
Property, plant, and equipment, net	1,891.1	1,678.3	1,657.7	
Goodwill	448.8	130.8	130.8	
Identifiable intangible assets	743.1	409.9	405.5	
Deferred income taxes and other assets	747.6	612.5	519.9	
Total operating assets	<u>9,759.7</u>	<u>7,922.9</u>	<u>7,641.4</u>	
Operating liabilities				
Accounts payable—non-interest bearing ²	\$1,221.7	\$ 995.7	\$ 882.5	
Accrued liabilities ³	1,790.0	1,210.5	1,207.4	(6)
Income taxes payable	88.0	109.2	85.5	
Deferred income taxes and other liabilities	854.5	3,954.2	550.1	
Net operating assets	<u>5,805.5</u>	<u>4,939.0</u>	<u>4,915.9</u>	(1)(2)
Net financial assets				
Financial assets				
Cash equivalents ¹	2,040.8	1,775.1	879.4	(4)
Short-term investments	642.2	990.3	1,348.8	
Total financial assets	<u>2,683.0</u>	<u>2,765.4</u>	<u>2,228.2</u>	
Financial liabilities				
Current portion of long-term debt	6.3	30.5	255.3	
Notes payable ⁴	177.7	100.8	43.4	
Accounts payable—interest bearing ²	65.9	44.6	69.7	
Long-term debt	441.1	409.9	410.7	
Redeemable preferred stock	0.3	0.3	0.3	(5)
Total financial liabilities	<u>691.3</u>	<u>586.1</u>	<u>779.4</u>	(1)(3)
Common Shareholders' equity³	<u>7,797.3</u>	<u>7,118.3</u>	<u>6,364.7</u>	(1)(6)

¹Cash and cash equivalents are split between operating cash and cash investments. Operating cash is estimated at 1/2 percent of sales.

²Interest-bearing accounts payable are classified as financing obligations.

³Accrued liabilities exclude dividends payable that have been included in shareholders' equity and include stock compensation liability removed from shareholders' equity.



"Net operating assets" (-5.076) is NEGATIVE.
Together with equity (3.735), they finance the "net financial assets", which amounts to 8.881.

NFA 8,8	NOA 5,0
	NE 3,8

DELL, INC. Strategic Comparative Balance Sheet, 2008 (In millions of dollars)				
	2008		2007	
Operating assets				
Working cash	\$ 40		\$ 40	
Accounts receivables	5,961		4,622	
Financing receivables	2,139		1,853	
Inventories	1,180		660	
Property, plant, and equipment	2,668		2,409	
Goodwill	1,648		110	
Intangible assets	780		45	
Other assets	3,653		3,491	
	<u>18,069</u>		<u>13,230</u>	
Operating liabilities				
Accounts payable	\$11,492		\$10,430	
Accrued liabilities	4,323		5,141	
Deferred service revenue	5,260		4,221	
Other liabilities	<u>2,070</u>		<u>647</u>	
	23,145		20,439	
Net operating assets	(5,076)		(7,209)	
Net financial assets				
Cash Equivalents	7,724		9,506	
Short-term investments	208		752	
Long-term investments	<u>1,560</u>		<u>2,147</u>	
	9,492		12,405	
Short-term borrowing	(225)		(188)	
Long-term debt	(362)		(569)	
Redeemable stock	<u>(94)</u>		<u>(111)</u>	
	8,811		11,537	
Common shareholders' equity	<u>3,735</u>		<u>4,328</u>	



Amounts:

1. Net Operating Working Capital
2. (gross) Invested Capital (both operating and non operating)
3. (net) Invested Capital (both operating and non operating)
4. (gross) Operating Invested Capital (Operating Assets)
5. (net) Operating Invested Capital (Net Operating Assets)

Ratios:

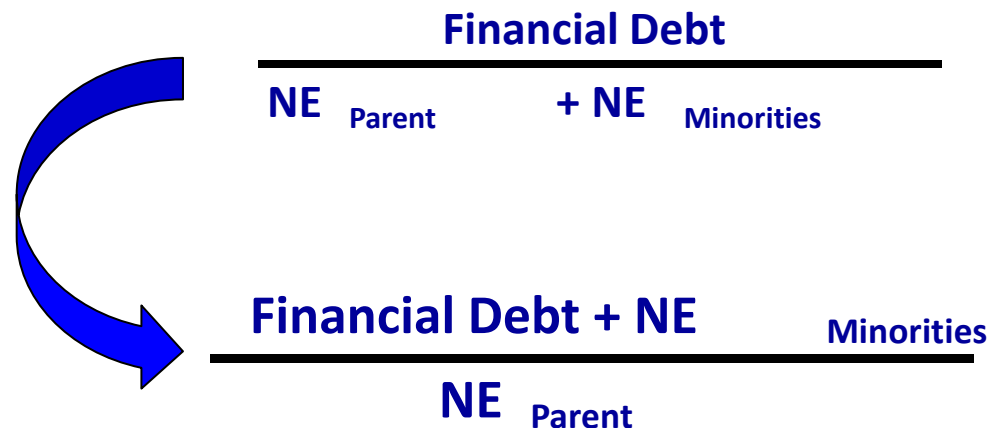
1. Debt-to-Equity ratio (Debt = Operating + Financial Liabilities)
2. (Financial) Debt-to Equity ratio (only: Financial Liabilities)
3. Debt-to-Assets ratio (Debt ? / Total Assets ?)
4. NFP to Equity ratio (Net Financial Position)
5. NFO to Equity ratio (Net Financial Obligations)



Analyzing the **consolidated financial statements**, how do we classify and assess the “**Minority Interests**” portion of the Group’s Equity? Are they debt? Are they Equity?

What is the financial (and entrepreneurial) role of minority shareholders? If they are a **strategic partner** → **EQUITY**

If we want to highlight the financial dependence of the group from minorities’ capital contributions and or the minorities’ pressure for regular dividend distributions, i.e. a **financial partnership** → **FINANCIAL DEBT** → changing the financial det-to-equity ratio as follows:



Before 2009 U.S. public companies were required to report:

- The Minorities’ Net Equity in a separate category (between Liabilities and Net equity)
- The Minorities’ Net Income as a negative item (if positive) in the Income Statement, because the bottom line was the Parent’s Net Income



This ratio:

$$\frac{\text{Financial Debt} + \text{NE}_{\text{Minorities}}}{\text{NE}_{\text{Parent}}}$$

Can be expressed as follow:

$$\frac{\text{Financial Debt}}{\text{NE}_{\text{Parent}}} + \frac{\text{NE}_{\text{minorities}}}{\text{NE}_{\text{Parent}}}$$

Where:

$$\frac{\text{Financial Debt}}{\text{NE}_{\text{Parent}}} = \text{Financial Leverage} \quad \frac{\text{NE}_{\text{minorities}}}{\text{NE}_{\text{Parent}}} = \text{Shareholding Leverage}$$

ATTENTION: As a matter of coherence, we should classify the amount of dividends (a non-expense item) distributed to minorities (a financial debt) as “*financial expenses*”

$$\frac{\text{Financial Expenses} + \text{Dividends}_{\text{minorities}}}{\text{Financial Debt} + \text{NE}_{\text{minorities}}}$$

and in your reformulated Income Statement the bottom line has to be the Parent Company's Net Income



It's very common to **adjust the B/S ratios in order to eliminate non-tangible items like goodwill and other intangibles** (especially those with an indefinite useful life), because:

- ❑ they do not generate any amortization cost but only the potential risk of impairment losses;
- ❑ in the absence of impairment losses the amount of these intangibles never change and, as a consequence, a relevant portion of assets is “frozen” (distortion effect of financial ratios).

So, you may use ratios starting from these adjustments:

- ❑ **Adjusted Total Assets**: Total Assets – Goodwill (*optional*: and other indefinite-life Intangible assets, ex. trademarks)
- ❑ **Adjusted (or “Tangible”) Net Equity**: Net Equity - Goodwill (*optional*: and other indefinite-life Intangible assets, ex. trademarks).

Let's see an example: Walt Disney Co.



Walt Disney Co., Statement of Financial Position, Goodwill and Intangible Assets

USD \$ in millions

	30-Sep-2017	01-Oct-2016	03-Oct-2015	27-Sep-2014	28-Sep-2013	29-Sep-2012
Character/franchise intangibles and copyrights	5.829	5.829	5.830	5.830	5.771	3.197
Other amortizable intangible assets	1.154	893	901	903	624	603
Gross amortizable intangible assets	6.983	6.722	6.731	6.733	6.395	3.800
Accumulated amortization	-1.828	-1.635	-1.426	-1.204	-980	-745
Net amortizable intangible assets	5.155	5.087	5.305	5.529	5.415	3.055
FCC licenses	602	624	629	667	717	722
Trademarks	1.218	1.218	1.218	1.218	1.218	1.218
Other indefinite lived intangible assets	20	20	20	20	20	20
Indefinite lived intangible assets	1.840	1.862	1.867	1.905	1.955	1.960
Intangible assets	6.995	6.949	7.172	7.434	7.370	5.015
Goodwill	31.426	27.810	27.826	27.881	27.324	25.110
Goodwill and other intangible assets	38.421	34.759	34.998	35.315	34.694	30.125

Source: Based on data from Walt Disney Co. Annual Reports

Walt Disney Co., adjustments to financial data

USD \$ in millions

	30-Sep-2017	01-Oct-2016	03-Oct-2015	27-Sep-2014	28-Sep-2013	29-Sep-2012
<i>Adjustment to Total Assets</i>						
Total assets (as reported)	95.789	92.033	88.182	84.186	81.241	74.898
Less: Goodwill	31.426	27.810	27.826	27.881	27.324	25.110
Total assets (adjusted)	64.363	64.223	60.356	56.305	53.917	49.788
<i>Adjustment to Total Disney Shareholder's Equity</i>						
Total Disney Shareholder's equity (as reported)	41.315	43.265	44.525	44.958	45.429	39.759
Less: Goodwill	31.426	27.810	27.826	27.881	27.324	25.110
Total Disney Shareholder's equity (adjusted)	9.889	15.455	16.699	17.077	18.105	14.649



Walt Disney Co., adjusted ratios

	30-Sep-2017	01-Oct-2016	03-Oct-2015	27-Sep-2014	28-Sep-2013	29-Sep-2012
<i>Total Asset Turnover (Revenues / Total Assets)</i>						
Reported total asset turnover	0,58	0,60	0,59	0,58	0,55	0,56
Adjusted total asset turnover	0,86	0,87	0,87	0,87	0,84	0,85
<i>Financial Leverage (Assets / Equity)</i>						
Reported financial leverage	2,32	2,13	1,98	1,87	1,79	1,88
Adjusted financial leverage	6,51	4,16	3,61	3,30	2,98	3,40
<i>Return on Equity (Net Income / Equity)</i>						
Reported ROE	21,74%	21,71%	18,83%	16,68%	13,51%	14,29%
Adjusted ROE	90,81%	60,76%	50,19%	43,92%	33,89%	38,79%
<i>Return on Assets (Net Income / Total Assets)</i>						
Reported ROA	9,37%	10,20%	9,51%	8,91%	7,55%	7,59%
Adjusted ROA	13,95%	14,62%	13,89%	13,32%	11,38%	11,41%

Remembering that $\text{Assets} / \text{Equity} = 1 + \text{Total Liabilities} / \text{Equity}$, as a consequence the ratio **Total Liabilities / Net Equity** is:

- **1,32 (as reported)**
- **5,51 (as adjusted)**

